

So if you do end up having that horrific -70% drawdown, what would it take to return up to where you started? Answer: 234%. That's the trading gain you would need just to get back to where you started.

Setting the risk level is one of the most important decisions of your trading career. Set it too high, and you will very likely suffer crippling losses at some point and get knocked out of the game. Set it too low, and you might as well just buy the S&P 500 tracker and call it a day.

Cash Management and the Effect of Free Government Money

The readers old enough never to have used TikTok might remember the days when you were actually paid interest on your deposited money. Depending on which country you live in and when you read this, perhaps you can still get some of that cash.

The interest rate can be a very important factor in futures trading, much more so than most people may think. Keep in mind that when we are dealing in futures we don't need to pay cash for our positions the way that you normally would when buying stocks. All we need is to have enough cash on the books to cover the initial margin and enough to avoid risking margin calls in case the position goes against us. If the only position in the portfolio happens to be 10 contracts of wheat and the position was just opened at a price of 800 cents per bushel, we do in fact have a nominal exposure of US\$400,000 worth of this particular grain, but that does not mean we need to have anywhere near as much money in our account. Exactly how much we need to hold in cash will vary based on the margin requirements on this commodity, which is set by the exchange where it is traded.

At the time of writing, the initial margin per wheat contract is about US\$3,000, and so we would at least need to have US\$30,000 to cover the 10 contracts just bought. The wheat contract has a maintenance margin of about US\$2,250 at this time, which means that we need to make sure that there is at least that much cash per contract available in our account at all times, after any unrealised losses. If the price now drops to 780 cents, we have an unrealised loss on the position of US\$1,000 per contract, given that the point value is US\$5,000 and that the price quote is in cents. That means we just lost US\$10,000 on the account on our 10 contracts and if we only have the minimum required US\$30,000 on the account, we now get a margin call, because the cash on the account is not enough for the minimum US\$2,250 per contract maintenance margin.